

July 21, 2026 01:23 PM GMT

Baidu Inc | Asia Pacific

Baidu Files for Dual Primary Listing

We expect the earliest date for Southbound (SB) inclusion to be September 7; meanwhile, non-core asset spin-off should continue to support the share price. Incremental SB fund flows could range from US\$3bn to US\$6.8bn over the first 6-12 months after the inclusion, an estimated 7-15% ownership. EW.

This is another catalyst in addition to non-core asset spin-off/dividends: Baidu announced its plans to convert from secondary listing to dual primary listing on HKEX within 2026. ([link](#)). We think it should provide support to the share price with increasing fund flow.

Southbound inclusion timeline: Under current rules, a secondary-listed company with a WVR structure that completes its conversion to a primary listing by September 3, 2026, would be eligible for Southbound inclusion effective at the market opening on September 7, 2026. If this deadline is not met, the next inclusion would be effective at the market opening on March 8, 2027 for companies completing their primary conversion by March 4, 2027.

Case study on duration needed to complete a primary conversion: According to historical primary conversion cases, similar companies with WVR structure have taken roughly two to six months to complete the process after the initial announcement on HKEX. The process could be completed in ~1-1.5 months for companies that have already undertaken preparatory work and are familiar with the conversion requirements.

Expected Southbound flows of tech companies: Companies with a market cap of ~US\$40-45bn have seen SB inflow of US\$3bn-6.8bn over the first 6-12 months following inclusion, equivalent to roughly 7%-15% Southbound ownership over a one-year period. Historically, SB inflows have been front-loaded immediately following inclusion.

Our view: We think key market focus remains on non-core asset spin off, while fundamentals remain weak, with core ad business showing limited recovery and core OP facing downside risks from increasing AI investments in 2H. We expect the share price to get support prior to key events (non-core asset spin-off and Southbound inclusion) but it could still be under pressure over the medium/long term until revenue/earnings stabilize.

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Baidu Inc (BIDU.O, BIDU US)

China Internet and Other Services | China

Stock Rating	Equal-weight			
Industry View	Attractive			
Price target	US\$130.00			
Up/downside to price target (%)	18			
Shr price, close (Jul 20, 2026)	US\$109.81			
52-Week Range	US\$165.30-84.64			
Sh out, dil, curr (mn)	343			
Mkt cap, curr (mn)	US\$37,610			
EV, curr (mn)	US\$2,421			
Avg daily trading value (mn)	US\$428			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	11.77	41.06	54.04	62.56
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	51.68	50.74	56.85	68.55
Revenue, net (Rmb mn)	129,079	129,884	145,335	158,948
ModelWare net inc (Rmb mn)	5,589	14,063	18,509	21,427
P/E	56.0	18.1	13.8	11.9
ROE (%)	2.1	5.3	6.5	7.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

See also: [Baidu Inc: 2Q26 Preview: AI Investments to Weigh on Core OP \(13 Jul 2026\)](#)

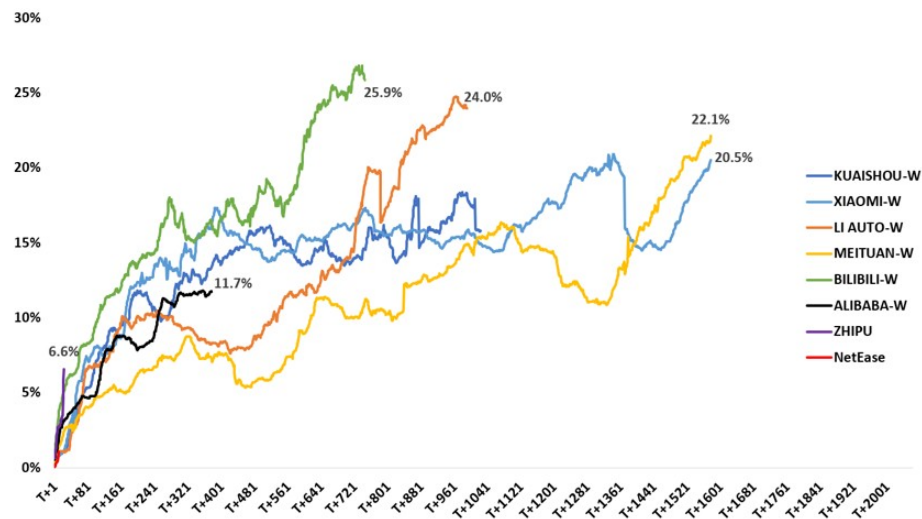
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Exhibits

Exhibit 1: Southbound ownership of major HSTECH constituents



Source: Bloomberg, Morgan Stanley Execution Services

Exhibit 2: Primary conversion timeline for historical precedents (sorted by time to complete primary conversion)

Ticker	Company	WVR (Y/N)	Initial Announcement of Primary Conversion on HKEX	Effective Date of Primary Conversion	Time to Complete Primary Conversion (Months)	Southbound Eligible (Y/N)
9688 HK	Zai Lab	N	Apr-24-2022	Jun-27-2022	2.1	Y
9987 HK	Yum China	N	Aug-15-2022	Oct-24-2022	2.3	Y
9991 HK	Baozun	Y	Aug-23-2022	Nov-01-2022	2.3	N
9999 HK	NetEase	N	Mar-02-2026*	Jun-30-2026	4	Y
6686 HK	Noah Holdings	N	Aug-10-2022	Dec-23-2022	4.5	N
2057 HK	ZTO	Y	Nov-18-2022	May-01-2023	5.5	Y
9626 HK	Bilibili	Y	Mar-16-2022	Oct-03-2022	6.7	Y
9988 HK	Alibaba	Y	Jul-26-2022	Aug-28-2024	25.5	Y

Note: NetEase received a migration exchange notice from HKEX to pursue a primary conversion, rather than voluntarily announcing a primary conversion plan. Source: Company data, Morgan Stanley Research

Exhibit 33: Key upcoming events

Date	Events	Remarks
Sep 7 2026	Potential dual primary listing status + Stock Connect (SB) inclusion	Incremental SB fund flows could range from US\$3bn-6.8bn over the first 6 -12 months
4Q26	ERNIE foundation model upgrade	
4Q26	Baidu World Event	
4Q26	Dividend payout	Est. US\$1–1.5 billion in total annual cash return (dividends + buybacks), 2-3% yield

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Baidu Inc (BIDU.O)

Base case, sum of the parts

- Core business - US\$123/share DCF (11% discount rate, 3% terminal growth rate).
- Associate investments (TCOM and IQ) - US\$7/share on implied market valuation and applying a 30% discount to investment value.

Risks to Upside

- Stronger core business recovery driving better top-line growth
- Solid margin expansion from investment discipline and cost control
- Materialization of AI and robotaxi initiatives

Risks to Downside

- Intensifying competition in search and online video, driving up TAC and more aggressive content investments
- AI-related adoption failing to ramp up in China
- AI disruption risk to search

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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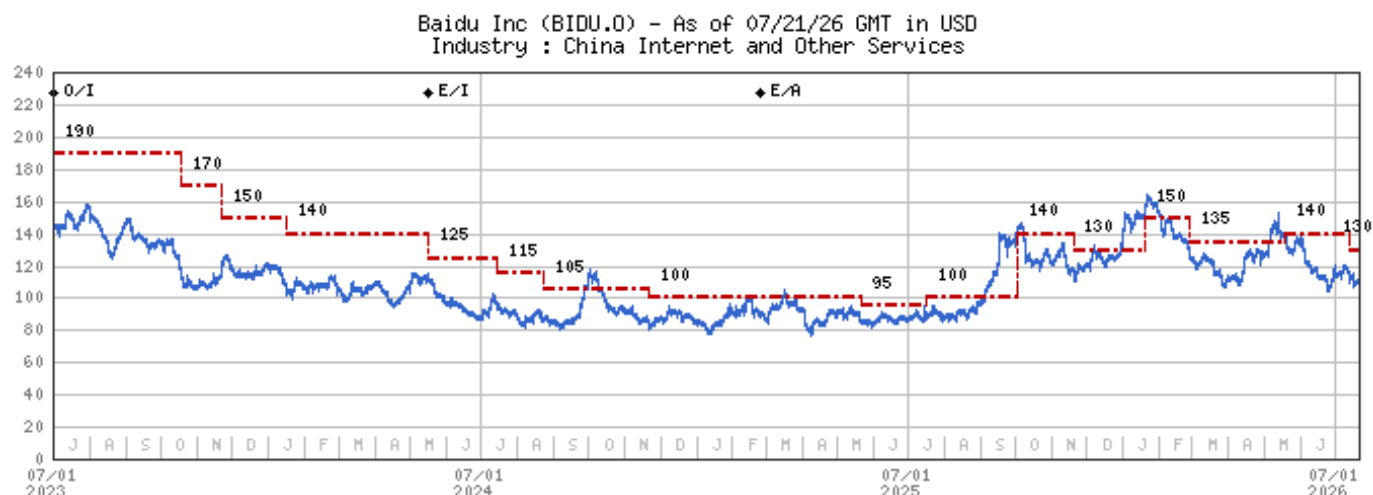
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INDUSTRY COVERAGE: China Internet and Other Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/20/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US\$21.43
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$9.25
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$30.60
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$15.59
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$16.97
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$86.05
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$14.60
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$120.34
Baidu Inc (BIDU.O)	E (05/17/2024)	US\$109.81
Meituan (3690.HK)	O (08/29/2024)	HK\$85.20
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$474.00
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$2.38
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$1.23
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$71.59
Weibo Corp (WB.O)	U (05/17/2024)	US\$8.00
Yang Liu		
Bilibili Inc (BILI.O)	O (04/13/2026)	US\$18.41
Kuaishou Technology (1024.HK)	O (05/26/2026)	HK\$45.10
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$134.20
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$13.16
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$44.19

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* Historical prices are not split adjusted.

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